

Dry Bulk Shipping

Bi-Weekly Industry Report

August 18, 2026

- Steady As She Goes** – Realized **volatility** across the dry bulk sector has collapsed to at least **seven-year lows** as elevated baseline prices have severely compressed percentage fluctuations for the underlying indices, a trend further exacerbated by the typical August seasonal lull. Despite broader **macroeconomic uncertainty** and persistent economic headwinds in China, shipowners remain content to maintain current operations while securing some of the highest absolute dayrates witnessed in decades. This resilient pricing environment is mainly driven by global route disruptions stemming from major geopolitical conflicts, which continue to support all shipping segments regardless of the specific localized constraints across the Black, Arabian, Red, and Baltic Seas. **Absent a resolution** to these structural geopolitical parameters, a meaningful downward **correction** in rates appears **unlikely**, a sentiment further reinforced by a characteristically **flat freight futures** curve across most shipping asset classes. Consequently, we anticipate an uneventful conclusion to the summer trading period, with expectations for renewed market volatility and increased cargo flows as the industry transitions into the peak autumn and winter seasons.
- Atlantic Iron Ore Netback Falls Below \$60/ton** – As iron ore prices drift lower due to high inventories, subdued steel demand, and macroeconomic headwinds in China, **rising freight rates** are significantly **reducing net-of-freight iron ore** pricing for Atlantic basin miners to an eight-year low. Concurrently, record-high diesel prices are inflating mining operational expenses, placing multi-directional pressure on corporate profit margins. While these compounding financial factors have not yet triggered an imminent slowdown in production volumes, the overall **urgency to maximize shipping throughput** has effectively **subsided**. Consequently, producers might be shifting their focus from aggressive volume growth toward rigorous cost-containment strategies and high-quality products. This shifting market dynamic suggests that operational discipline will remain the primary driver of regional performance until broader macroeconomic indicators point towards quantity growth.
- Our Long-term View** – The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by stable bulk commodity demand and rather steady but elevated fleet growth.

Short-term Indicators

<i>Momentum:</i>	Neutral
<i>Sentiment:</i>	Neutral
<i>Fundamentals:</i>	Neutral

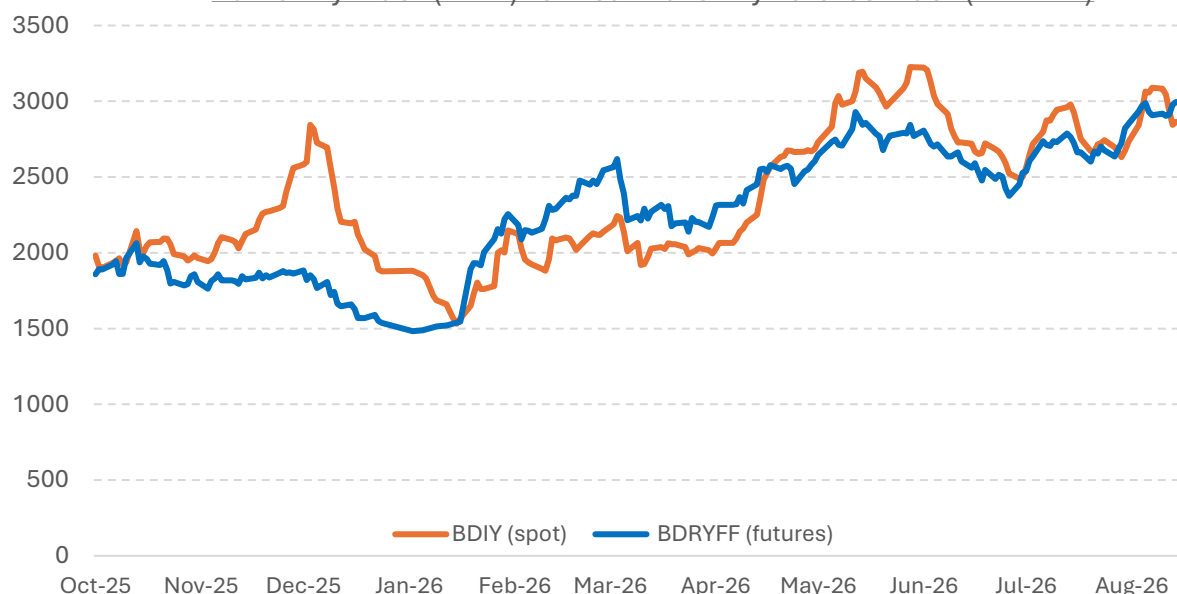
Breakwave Dry Futures Index:	2995
30D: 12.5%	↑
YTD: 95.0%	↑
YOY: 46.9%	↑

Baltic Dry Index (spot):	2878
30D: 4.6%	↑
YTD: 53.3%	↑
YOY: 40.8%	↑

Reuters:	BDRY.K
Bloomberg:	BDRY US
Exchange:	NYSE

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Baltic Dry Index (BDIY) vs Breakwave Dry Futures Index (BDRYFF)



The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.

Dry Bulk Fundamentals

Demand	YTD	YOY
China Steel Production	577mt	-2.9%
China Steel Inventories	5.1mt	23.4%
China Iron Ore Inventories	157mt	19.7%
China Iron Ore Imports	1997mt	3.2%
China Coal Imports	759mt	-5.2%
China Soybean Imports	174mt	4.6%
Brazil Iron Ore Exports	643mt	4.7%
Australia Iron Ore Exports	1398mt	2.8%

Supply

Dry Bulk Fleet	1093 mdwt	3.7%
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Freight Rates

Baltic Dry Index, Average	2,452	73.0%
Capesize Spot Rates, Average	31,063	77.8%
Panamax Spot rates, Average	17,808	52.0%

Note: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals

Sources: Bloomberg, IEA, Clarksons and Breakwave Advisors

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